Is Your Marketing Leading to Sales?

Marketing is vital but can be costly. Assess the effectiveness of your marketing activities, and monitor where most of your sales are being made to ensure that your campaigns count.

Investing in marketing

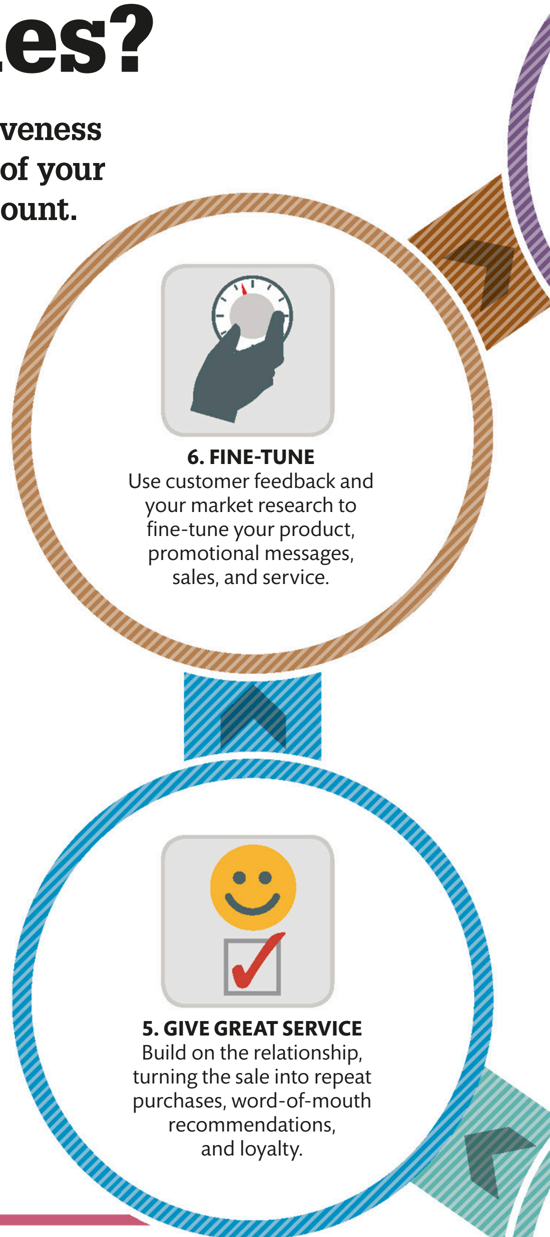
Marketing is a creative process, and it is often viewed as being one of the most exciting parts of the business. However, since several factors can cause an increase in sales, the effectiveness of your marketing campaigns can seem hard to measure. For example, after delivering new flyers locally, you need to be sure that any subsequent increase in trade was not simply the result of more people moving to the area.

You need to view marketing as an investment and understand which marketing approach will best engage with customers and drive sales, particularly since marketing is an ongoing and cumulative process.

Measuring success

Even for start-ups, digital marketing is an affordable and valuable option, and there are many free online analytical tools available (see pp.212–215) to measure its effectiveness, such as Google Analytics, which you can set up online without specialized knowledge. These record data such as the number of new visitors to a website, number of page views, clicks on paid ads, and the rate at which sales have been made. Offline campaigns can also be measured by counting response rates to flyers and ads featuring discount codes.

As well as measuring the response rate to marketing activities, you need to assess the financial return. To do this, look at a specific time period, and divide your total marketing spend by the number of new customers attracted. This gives a figure known as the customer acquisition cost (CAC). Next, estimate how much money an average customer will spend with you over their lifetime, the customer lifetime value (CLV): to do this, multiply the product value by the number of times it is purchased, then multiply this by the average customer life span. If it costs $200 to acquire each customer, who will spend only $20 over their lifetime, you will need to review your campaign.



The marketing cycle

The marketing process should begin with a good understanding of your customers' needs. Using this information, you can adjust your offering and craft a strong marketing message. Give great service to keep customers engaged, and use their feedback to hone your marketing campaigns.